

Executive Summary: Telco Retention Strategy

Business Problem

The marketing team at a mid-sized telecom company has noticed a sharp increase in customer cancellations. While they have a small budget for a new retention campaign, they do not yet have enough data to know which customers to focus on or which offers will work best.

Project Objective

Core Question: What service factors are causing customers to leave, and which customer groups are most likely to do so?

Methodology: Prioritized service variables like contract type, tech support, and billing type instead of demographic data, so the marketing team can act on things they can control.

Goal: Provide a clear recommendation for which customer segments to target, so the retention budget is used most effectively.

Key Findings

The overall churn rate for the organization is **26.5%**.

M2M High Risk Churn: Customers on month-to-month contracts without tech support. They cancel at a rate of **50.4%**, which means **1,350** lost accounts.

Independent Churn Risk: In this group of month-to-month customers, churn increases even more when any of the following conditions are present:

Billing Type: Customers who pay by electronic check have a churn rate of **58.4%**.

Internet Type: Customers using fiber optic service have a churn rate of **57.5%**.

No Online Security: Customers without the Online Security add-on have a **54.7%** churn rate.

Strategic Recommendation

Target the retention budget exclusively at the high-risk month-to-month segment.

Action: Offer customers a feature bundle that includes Free Tech Support and Online Security to encourage customers to switch to 1 or 2 Year contracts. Customers must sign up for Auto-Pay to get this offer. This campaign reduces contract risk, makes customers more likely to stay, and removes payment issues that cause most cancellations.